

Case 10: Half the Marketing Budget Is Gone

Marketing Budget Allocation

Framework: 7P Marketing Mix (Promotion focus)

RECOMMENDED DECISION

Reallocate unevenly by efficiency and strategic role — don't cut any channel to zero, don't cut proportionally.

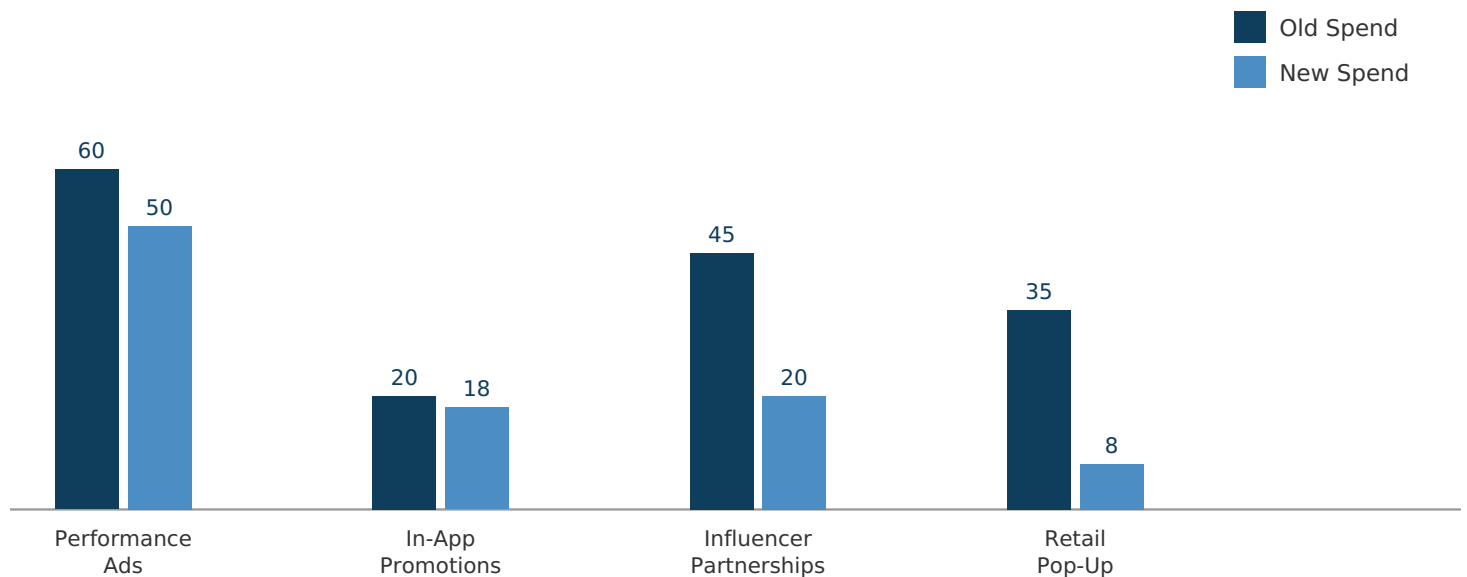
Fund Performance Ads and In-App Promotions close to current levels (they carry the acquisition engine), keep a reduced Influencer budget for brand-building, and shrink — but don't eliminate — Retail Pop-Ups to preserve local press visibility at minimal cost.

Proposed Rs. 96 Lakh Allocation

Channel	Old Spend	New Spend	% Change	Rationale
Performance Ads (Insta/Google)	Rs. 60L	Rs. 50L	−17%	Best cost/customer (Rs. 674); core acquisition engine, protected first
In-App Promotions	Rs. 20L	Rs. 18L	−10%	Most efficient (Rs. 392) but capped by existing app-user reach — near-fully funded
Influencer Partnerships	Rs. 45L	Rs. 20L	−56%	Weak direct CPA but only channel building brand image; kept at a meaningful, not token, level
Retail Pop-Up Program	Rs. 35L	Rs. 8L	−77%	Least efficient (Rs. 3,181); reduced to one flagship activation for press/buzz value only
Total	Rs. 160L	Rs. 96L	−40%	

Framework: Where Each Channel Sits in the 7P Mix

Spend Reallocation (Rs. Lakh)



Discussion Question Responses

1. How would you split the new Rs. 96 lakh budget across the four channels?

As shown above: Rs. 50L to Performance Ads, Rs. 18L to In-App Promotions, Rs. 20L to Influencer Partnerships, and Rs. 8L to Retail Pop-Ups. The split is anchored on cost-per-customer efficiency for the first two channels, which together still deliver the large majority of new customer volume even after the cut, while preserving smaller, deliberate investments in the two brand-building channels rather than eliminating them.

2. Would you cut any channel completely, or reduce all four proportionally?

Neither. Cutting a channel completely (most tempting for Retail Pop-Up, the least efficient) sacrifices the only channel generating local press coverage and physical brand presence — a capability that is hard and slow to rebuild later if StyleHive wants it back in a future quarter. Reducing all four proportionally by 40% ignores the wide efficiency gap between channels (Rs. 392 vs. Rs. 3,181 cost per customer) and would waste scarce budget maintaining an inefficient channel at the same relative weight as an efficient one. An uneven, efficiency-and-role-based cut is the better answer.

3. What are you giving up by prioritizing cost-per-customer alone?

Cost-per-customer only measures direct, attributable acquisitions — it says nothing about brand image, top-of-funnel awareness, or word-of-mouth that influencer content and pop-up events generate but that don't convert immediately. Optimizing purely for CPA would push StyleHive to concentrate spend almost entirely in Performance Ads and In-App Promotions, both of which draw from an existing pool of intent (search, app users) rather than creating new demand. Over time this risks rising CPMs, ad fatigue, and a brand with no distinct identity beyond performance marketing — exactly the long-term risk the team's own notes flagged.

KEY TAKEAWAYS

- Efficiency metrics (CPA) should set the floor for allocation, not the entire allocation — qualitative brand-building value needs a protected minimum budget.
- A 40% cut is an opportunity to reallocate, not just shrink everything evenly.
- Retaining a small footprint in every channel preserves future optionality to scale back up.